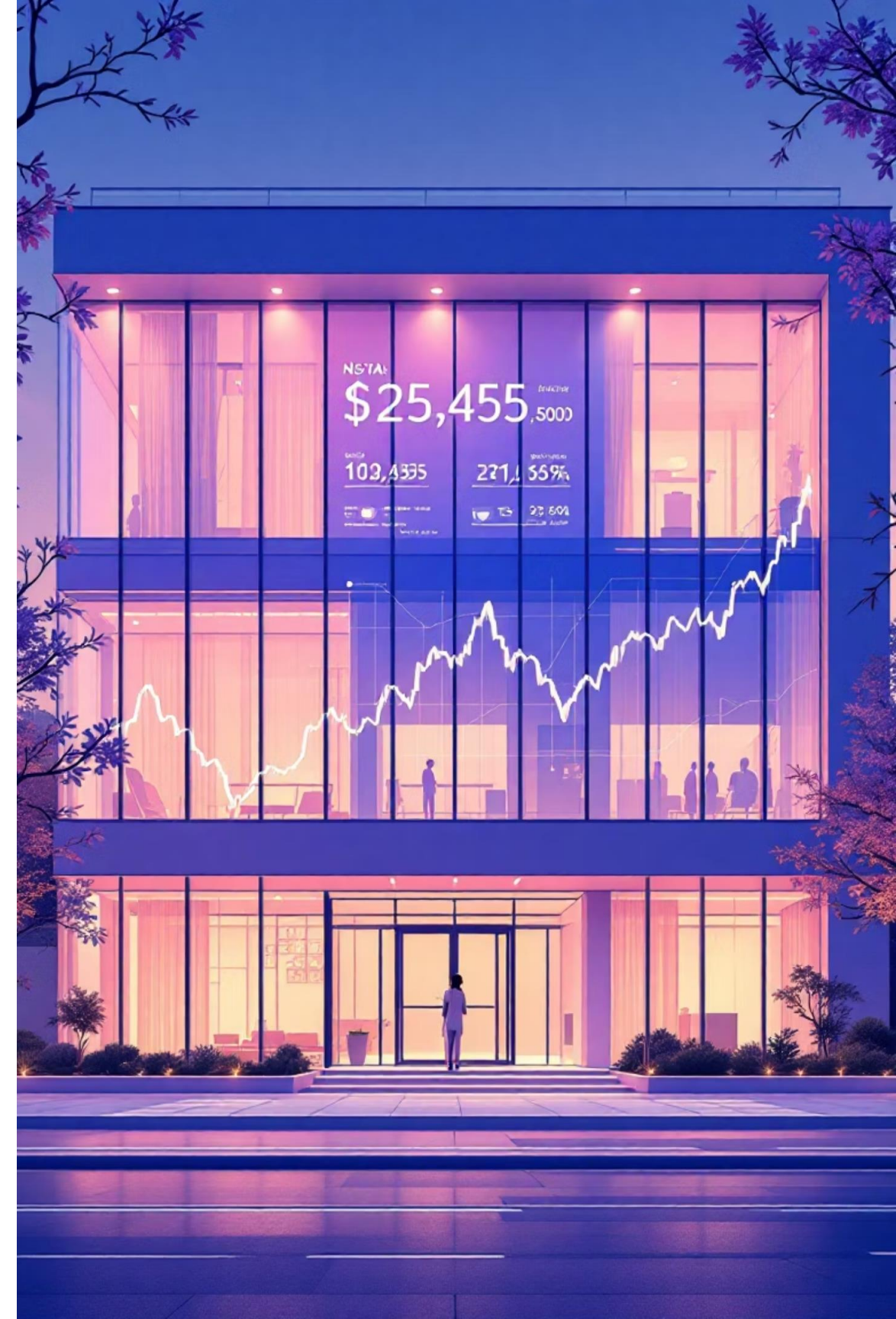


Cashflow Forecasting & Budget Analytics for Healthcare Finance

A comprehensive case study examining how NovaCare Medical Services transformed financial uncertainty into predictive decision-making through advanced analytics and forecasting models.



Company Overview: Growth Through Innovation

Company Profile

Founded: 2016

Location: Leeds, United Kingdom

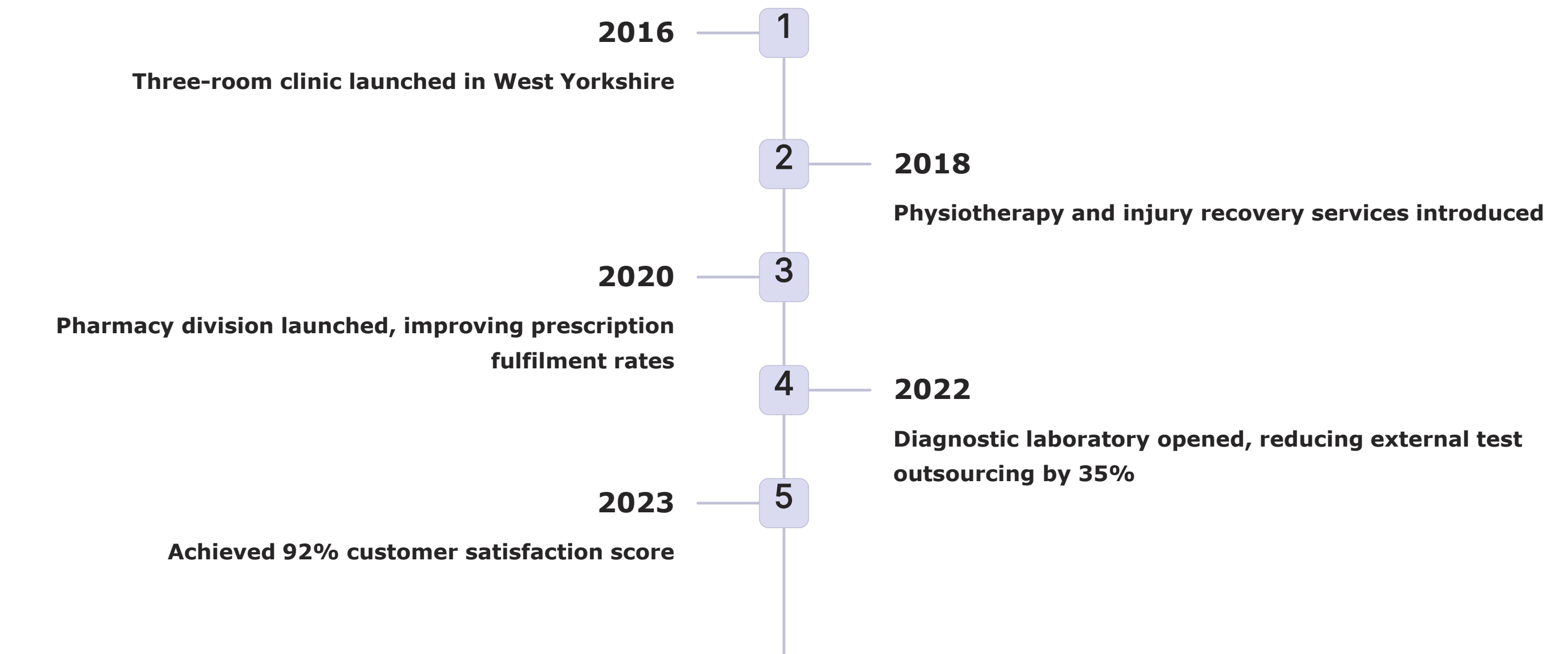
Industry: Private Healthcare Services

Monthly Patients:
1,200–1,800

NovaCare began as a three-room clinic in West Yorkshire and evolved into a multidisciplinary healthcare centre offering medical consultations, diagnostics, pharmacy services, and wellness therapies. The organization built its reputation on affordable care, timely service delivery, and patient-centred operations.



Strategic Milestones & Competitive Advantage



NovaCare differentiates itself through speed of care delivery, in-house diagnostics, and a multi-service medical environment that reduces referral lag. However, tight cost structures mean salaries, medical supplies, and rent constitute over 60% of monthly expenses.





Critical Business Challenges

Despite strong patient demand and service expansion, NovaCare faces cashflow instability driven by inconsistent revenue patterns and rising operating expenses. Leadership cannot accurately predict when liquidity may drop below critical levels or which months require spending control.

Seasonal Fluctuation

Revenue varies sharply month-to-month, making profitability unpredictable and creating operational uncertainty.

Rising OPEX

Operating expenses increasing 6–9% annually, causing margin compression and reduced reinvestment capacity.

Slow Receivables

Many patients pay via insurance cycles, creating working capital strain and liquidity pressure.

Reactive Decision-Making

No structured forecasting model means financial decisions are reactive rather than predictive.

Project Rationale

Cashflow collapse ranks among the top three causes of failure for healthcare SMEs. With wages, rent, and medical supplies forming fixed monthly costs, even short-term revenue dips can disrupt entire operations.

The Deloitte Healthcare Finance Report (2023) highlighted cashflow sensitivity in medical centres, recommending predictive analytics as a strategic response. Private clinics increasingly rely on dashboards and forecasting to manage liquidity, while NHS Trusts perform monthly variance reviews to prevent cost overruns.

60%

Fixed Costs

Salaries, supplies, and rent as
percentage of monthly
expenses

35%

Outsourcing Reduction

Decrease in external test
outsourcing after lab opening

92%

Satisfaction Score

Customer satisfaction based on
feedback analytics

Project Objectives & Deliverables

The project uses Excel and Power BI to develop an intelligent forecasting system capable of predicting cashflow stability while tracking monthly performance deviation. The outcome is a decision-support tool that informs spending, investment, and sustainability planning.

01	02	03
12-Month Financial Planning Budget	Cashflow Forecast Model	Variance Analysis Engine
Comprehensive revenue and OPEX planning framework	Working capital and CAPEX-based forecasting system	Automated budget vs actual comparison formulas
04	05	
Scenario Simulation Models	Interactive Dashboard	
Best, base, and worst case financial projections	Power BI visualization of revenue, costs, and cash trends	

Strategic Value & Expected Impact



Liquidity Visibility

Predict low-cash periods in advance, enabling proactive financial management and preventing operational disruptions.



Decision Precision

Reduce financial risk and support growth planning through data-driven insights and forecasting.



Expense Governance

Prevent overspending and manage supplier contracts through controlled budgeting and variance tracking.



Financial Stability

Improve profitability through controlled budgeting and transition from reactive to predictive decision-making.



Scenario Resilience

Prepare for best, base, and worst demand cycles with simulation models that test multiple outcomes.

Comprehensive Data Architecture

Revenue	Month, Budget Volume, Actual Volume, Price, Budget Revenue, Actual Revenue — feeds variance calculations and scenario projections
OPEX Budget	Medical Supplies, Salaries, Rent, Utilities, Marketing, Other OPEX — creates baseline P&L plan
OPEX Actual	Actual monthly operational expenditure — variance equals Actual minus Budget
Working Capital	Receivables, Payables, Inventory — drives operating cashflow adjustments
Loan Schedule	Opening Balance, Interest, Principal Repayment, Closing — determines financing cash outflows
CAPEX	Month, CAPEX Spend — deducted from investing cashflow
Scenario Inputs	% Volume Change, % Price Change, % OPEX Inflation — used for simulation and sensitivity testing

Technology Stack: Microsoft Excel for revenue modelling, forecasting logic, and variance engine; Power BI for visual dashboard creation and insight communication.

Seven-Step Analytics Workflow



Dataset Setup

Load Revenue, OPEX, and Working Capital tables into Excel



Budget Model

Compute Budget Revenue and generate Budget OPEX using cost components



Variance Engine

Actual vs Budget comparison with revenue, OPEX, and net profit variance percentages



Cashflow Forecast

Operating cashflow with depreciation, working capital changes, CAPEX, and loan payments



Scenario Simulation

Best, Base, and Worst outcomes using adjustable volume, price, and OPEX drivers



Power BI Dashboard

Revenue vs cost trends, profit variance, cashflow forecast, and KPI cards

Scenario Simulation Framework

The model creates three distinct financial scenarios using adjustable drivers to test NovaCare's resilience under varying market conditions. This enables leadership to prepare contingency plans and make informed strategic decisions.

Best Case Scenario

- **Volume: +10%**
- **Price: +5%**
- **OPEX: +2%**

Optimistic growth with strong patient demand and controlled cost increases

Base Case Scenario

- **Volume: 0%**
- **Price: 0%**
- **OPEX: +4%**

Realistic projection with stable demand and moderate expense inflation

Worst Case Scenario

- **Volume: -15%**
- **Price: -5%**
- **OPEX: +8%**

Stress test with declining patient volume, pricing pressure, and rising costs

The dashboard includes revenue vs cost trend lines, profit variance bar charts, cashflow forecast graphs, scenario comparison matrices, and KPI cards tracking margin percentage, cash runway, and year-over-year growth.